

House File 1055

H-1361

1 Amend House File 1055 as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <DIVISION I

5 APPROPRIATIONS, DISTRIBUTIONS, TRANSFERS, AND EXPENDITURE
6 AUTHORITY

7 Section 1. LIMITATIONS OF STANDING APPROPRIATIONS — FY
8 2025-2026. Notwithstanding the standing appropriation in the
9 following designated section for the fiscal year beginning July
10 1, 2025, and ending June 30, 2026, the amount appropriated from
11 the general fund of the state pursuant to that section for the
12 following designated purpose shall not exceed the following
13 amount:

14 For payment of claims for nonpublic school pupil
15 transportation under [section 285.2](#):

16 \$ 8,997,091

17 If total approved claims for reimbursement for nonpublic
18 school pupil transportation exceed the amount appropriated in
19 accordance with this section, the department of education shall
20 prorate the amount of each approved claim.

21 Sec. 2. INSTRUCTIONAL SUPPORT STATE AID — FY 2025-2026. In
22 lieu of the appropriation provided in section 257.20,
23 subsection 2, the appropriation for the fiscal year
24 beginning July 1, 2025, and ending June 30, 2026, for paying
25 instructional support state aid under section 257.20 for the
26 fiscal year is zero.

27 Sec. 3. SPECIAL FUNDS — SALARY ADJUSTMENTS — FY
28 2025-2026. For the fiscal year beginning July 1, 2025, and
29 ending June 30, 2026, salary adjustments otherwise provided
30 may be funded as determined by the department of management,
31 subject to any applicable constitutional limitation, using
32 unappropriated moneys remaining in the commerce revolving
33 fund, the gaming enforcement revolving fund, the gaming
34 regulatory revolving fund, the primary road fund, the road
35 use tax fund, the fish and game protection fund, and the Iowa

1 public employees' retirement fund, and in other departmental
2 revolving, trust, or special funds for which the general
3 assembly has not made an operating budget appropriation.

4 Sec. 4. IOWA ECONOMIC EMERGENCY FUND EXCESS — USE FOR
5 FOUNDATION AID. Of the excess moneys transferred to the
6 general fund of the state under section 8.55, subsection 2,
7 paragraph "b", for the fiscal year beginning July 1, 2024,
8 \$21,881,303 shall be used in lieu of a like amount of other
9 general fund moneys to pay foundation aid under chapter 257,
10 as described in section 257.16, for the fiscal year beginning
11 July 1, 2025. This section is based on the application of
12 assessment limitations calculated under section 441.21 due to
13 the enactment of 2023 Iowa Acts, chapter 5.

14 Sec. 5. Section 257.35, subsection 2, Code 2025, is amended
15 to read as follows:

16 2. ~~Notwithstanding the deduction and payment under~~
17 ~~subsection 1, the~~ The amounts specified for school districts
18 ~~and area education agencies in subsection 1, paragraph "a"~~
19 section 257.10, subsection 7, for the fiscal year beginning
20 July 1, ~~2024~~ 2025, and each succeeding fiscal year, shall be
21 reduced by the department of management by seven million five
22 hundred thousand dollars. The department of management shall
23 calculate a state aid reduction such that such amounts shall
24 be reduced proportionally to the amount that the district ~~or~~
25 ~~agency~~ would otherwise have received under ~~this section if the~~
26 ~~reduction imposed pursuant to this subsection did not apply~~
27 257.10, subsection 7.

28 Sec. 6. Section 257.35, Code 2025, is amended by adding the
29 following new subsections:

30 NEW SUBSECTION. 19A. In addition to the state aid reduction
31 applicable pursuant to subsection 2, the state aid portion of
32 the amounts specified for school districts in section 257.10,
33 subsection 7, for the fiscal year beginning July 1, 2025, and
34 ending June 30, 2026, shall be reduced by the department of
35 management by twenty-five million dollars. The reductions

1 for each district shall be prorated based on the proportional
2 reduction that the district receives under subsection 2.

3 NEW SUBSECTION. 19B. The director of the department of
4 management may deduct the following from the state aid due to
5 each school district pursuant to this chapter and shall pay the
6 amounts to the respective area education agencies on a monthly
7 basis from September 15 through June 15 during each school year
8 for purposes of providing services to students enrolled in
9 nonpublic schools within the boundaries of the area education
10 agency:

11 a. The amount calculated for media services for the school
12 district that is attributable to the number of students
13 enrolled in nonpublic schools within the school district who
14 are provided with media services by an area education agency.

15 b. The amount calculated for educational services for the
16 school district that is attributable to the number of students
17 enrolled in nonpublic schools within the school district who
18 are provided with educational services by an area education
19 agency.

20 DIVISION II

21 CORRECTIVE PROVISIONS

22 Sec. 7. Section 29D.4, subsection 2, paragraph b, as enacted
23 by 2025 Iowa Acts, Senate File 619, section 8, is amended to
24 read as follows:

25 b. Moneys in the fund are appropriated to the department to
26 provide loans to eligible entities pursuant to section ~~29D.9~~
27 29D.8, and for administration of the program as permitted
28 under the STORM Act. Moneys in the fund shall not be used to
29 provide a loan to a private entity for the acquisition of real
30 property. Moneys in the fund shall not be considered part of
31 the general fund of the state subject to appropriation for any
32 other purpose by the general assembly, and in determining a
33 general fund balance, shall not be included in the general fund
34 of the state subject to section 16.31, insofar as section 16.31
35 complies with the STORM Act.

1 Sec. 8. Section 144E.3, Code 2025, as amended by 2025 Iowa
2 Acts, Senate File 233, section 2, if enacted, is amended to
3 read as follows:

4 **144E.3 Manufacturer and eligible facility rights.**

5 1. A manufacturer of an investigational drug, biological
6 product, or device or a manufacturer operating within,
7 and in compliance with all requirements applicable to, an
8 eligible facility may make available, and an eligible patient,
9 as applicable under section ~~144E.1~~ 144E.2, subsection 2,
10 paragraph "a" or "b", may request from a manufacturer of
11 an investigational drug, biological product, or device,
12 or a manufacturer operating within, and in compliance with
13 all requirements applicable to, an eligible facility, the
14 manufacturer's investigational drug, biological product, or
15 device, or the manufacturer's individualized investigational
16 treatment under [this chapter](#). [This chapter](#) does not require a
17 manufacturer of an investigational drug, biological product,
18 or device, or of an individualized investigational treatment
19 to provide or otherwise make available the investigational
20 drug, biological product, or device, or the individualized
21 investigational treatment to an eligible patient.

22 2. An eligible facility, or a manufacturer described
23 in [subsection 1](#), that is in compliance with all applicable
24 requirements, may do any of the following:

25 a. Provide an investigational drug, biological product,
26 or device, or an individualized investigational treatment
27 to an eligible patient, as applicable under section ~~144E.1~~
28 144E.2, subsection 2, paragraph "a" or "b", without receiving
29 compensation.

30 b. Require an eligible patient, as applicable under section
31 ~~144E.1~~ 144E.2, subsection 2, paragraph "a" or "b", to pay the
32 costs of, or the costs associated with, the manufacture of the
33 investigational drug, biological product, or device, or the
34 individualized investigational treatment.

35 Sec. 9. Section 237.10, subsection 1, paragraph d, if

1 enacted by 2025 Iowa Acts, House File 644, section 3, is
2 amended to read as follows:

3 *d.* (1) The department shall notify an individual licensee,
4 and the parents or guardians of a child, if the department
5 delegates the department's right to consent to emergency
6 medical care and routine medical care on behalf of the child
7 under section 232.2, subsection 12, paragraph "c", to the
8 individual licensee.

9 (2) The department shall notify the department of
10 education, an individual licensee, and the parents or guardians
11 of a child if the department delegates the department's right
12 to consent to participation in an individualized education
13 program on behalf of the child under section 232.2, subsection
14 12, paragraph "c", to the individual licensee.

15 Sec. 10. Section 237.10, subsection 1, paragraph d, if
16 enacted by 2025 Iowa Acts, House File 644, section 7, is
17 amended to read as follows:

18 *d.* (1) The department shall notify an individual licensee
19 or an approved kinship caregiver, and the parents or guardians
20 of a child, if the department delegates the department's right
21 to consent to emergency medical care and routine medical care
22 on behalf of the child under section 232.2, subsection 12,
23 paragraph "c", to the individual licensee or approved kinship
24 caregiver.

25 (2) The department shall notify the department of
26 education, an individual licensee or an approved kinship
27 caregiver, and the parents or guardians of a child, if the
28 department delegates the department's right to consent to
29 participation in an individualized education program on behalf
30 of the child under section 232.2, subsection 12, paragraph "c",
31 to the individual licensee or approved kinship caregiver.

32 Sec. 11. Section 256.9, subsection 69, as enacted by 2025
33 Iowa Acts, House File 782, section 1, is amended to read as
34 follows:

35 69. On or before May 1, 2025, develop and distribute

1 to school districts, accredited nonpublic schools, charter
2 schools, and innovation zone schools model policies that,
3 if adopted, would satisfy ~~the~~ a school district's, ~~charter~~
4 ~~school's, or innovation zone school's~~ responsibilities under
5 section 279.87 relating to policies governing student use of
6 personal electronic devices.

7 Sec. 12. Section 280.36, subsection 1, as enacted by 2025
8 Iowa Acts, Senate File 583, section 4, is amended to read as
9 follows:

10 1. The board of directors of each school district and the
11 authorities in charge of each accredited nonpublic school may
12 establish a multidisciplinary school safety assessment team.
13 If established, the multidisciplinary school safety assessment
14 team shall coordinate resources and assess and intervene
15 when a student enrolled in the school district or accredited
16 nonpublic school exhibits behavior that may pose a threat to
17 the safety of the school district or accredited nonpublic
18 school, employees of the school district or accredited
19 nonpublic school, or other ~~student~~ students enrolled in the
20 school district or accredited nonpublic school.

21 Sec. 13. Section 299.1D, subsection 1, paragraph f, if
22 enacted by 2025 Iowa Acts, House File 870, section 2, is
23 amended to read as follows:

24 *f.* The school district or accredited nonpublic school
25 must not expend any moneys related to the course in religious
26 instruction, not including de minimis administrative costs
27 associated with processing notifications received under
28 ~~subsection 1~~ paragraph "a" and tracking the child's attendance
29 to ensure compliance with this section.

30 Sec. 14. Section 404A.3, subsection 3, paragraph b,
31 subparagraph (5), subparagraph division (c), if enacted by 2025
32 Iowa Acts, House File 975, section 19, is amended to read as
33 follows:

34 (c) Upon application of the eligible taxpayer made prior
35 to the expiration of an extension under subparagraph division

1 (b), the authority may, at the discretion of the authority,
2 extend the date by which the qualified rehabilitation project
3 must be complete up to an additional twelve consecutive months.
4 The qualified eligible taxpayer must substantiate to the
5 satisfaction of the authority that the requested extension is
6 warranted due to extenuating circumstances outside the control
7 of the eligible taxpayer.

8 Sec. 15. Section 510B.8E, subsection 3, unnumbered
9 paragraph 1, if enacted by 2025 Iowa Acts, Senate File 383,
10 section 7, is amended to read as follows:

11 The pharmacy benefits ~~manger~~ manager shall respond to an
12 appeal within seven business days after the date on which the
13 pharmacy benefits manager receives the appeal.

14 Sec. 16. Section 514F.8, subsection 1A, paragraph c,
15 subparagraph (8), if enacted by 2025 Iowa Acts, House File 303,
16 section 1, is amended to read as follows:

17 (8) The average and median time that elapsed between the
18 submission of a nonurgent prior authorization request and a
19 determination by the utilization review organization for the
20 ~~urgent~~ nonurgent prior authorization request, aggregated for
21 all health care services or items.

22 Sec. 17. Section 522F.4, subsection 2, as enacted by 2025
23 Iowa Acts, Senate File 619, section 59, is amended to read as
24 follows:

25 2. Any The fee for a criminal history check shall be
26 the same as any applicable fee for a criminal history check
27 pursuant to section 522B.5A.

28 Sec. 18. Section 522F.9, subsection 2, as enacted by 2025
29 Iowa Acts, Senate File 619, section 64, is amended to read as
30 follows:

31 2. Any The fee for a criminal history check shall be
32 the same as any applicable fee for a criminal history check
33 pursuant to section 522B.5A.

34 Sec. 19. CODE EDITOR DIRECTIVE. 2025 Iowa Acts, Senate File
35 619, section 29, amends section 515.137A, subsections 3, 4, and

1 5, Code 2025, by striking the subsections and inserting in lieu
2 thereof new subsections 3, 4, and 5, and, notwithstanding the
3 Acts section lead-in, adds new subsections 6, 7, 8, 9, and 10.
4 The Code editor is directed to codify 2025 Iowa Acts, Senate
5 File 619, section 29, by striking section 515.137A, subsections
6 3, 4, and 5, Code 2025, and inserting in lieu thereof new
7 subsections 3, 4, and 5, and then by amending section 515.137A,
8 Code 2025, by adding new subsections 6, 7, 8, 9, and 10.

9 Sec. 20. EFFECTIVE DATE. The following, being deemed of
10 immediate importance, takes effect upon enactment:

11 The section of this division of this Act amending section
12 256.9, subsection 69, as enacted by 2025 Iowa Acts, House File
13 782, section 1.

14 Sec. 21. RETROACTIVE APPLICABILITY. The following applies
15 retroactively to April 30, 2025:

16 The section of this division of this Act amending section
17 256.9, subsection 69, as enacted by 2025 Iowa Acts, House File
18 782, section 1.

19 DIVISION III

20 CRYSTALLINE POLYMORPH PSILOCYBIN

21 Sec. 22. Section 124.201, subsection 5, if enacted by 2025
22 Iowa Acts, House File 383, section 1, is amended to read as
23 follows:

24 5. *a.* Notwithstanding section 124.204, subsection 4, a drug
25 that contains the pharmaceutical composition of crystalline
26 polymorph psilocybin, ~~also known as COMP 360, or any other~~
27 ~~trade name approved by the United States food and drug~~
28 ~~administration~~, shall be immediately removed from schedule I
29 under section 124.204, subsection 4, paragraph "s", upon its
30 approval by the United States food and drug administration and
31 rescheduled based upon the recommendations of the United States
32 food and drug administration and its listing in the federal
33 Controlled Substances Act, 21 U.S.C. §812, and 21 C.F.R.
34 §1308.14.

35 *b.* Immediately upon the rescheduling of the drug under

1 paragraph "a", it shall be lawful to prescribe, distribute, and
2 market the pharmaceutical composition of crystalline polymorph
3 psilocybin, ~~also known as COMP 360, or any other trade name~~
4 ~~approved by the United States food and drug administration.~~

5

DIVISION IV

6 MEDICAL RESIDENCY AND FELLOWSHIP POSITIONS — RESIDENTS OF IOWA

7 Sec. 23. Section 262.9, subsection 39, paragraph e,
8 subparagraph (2), if enacted by 2025 Iowa Acts, House File 516,
9 section 1, is amended to read as follows:

10 (2) An individual who has lived in Iowa for at least four
11 consecutive years immediately preceding the date the individual
12 ~~applies for admission to~~ begins classes at the college of
13 medicine in the doctor of medicine program or the college of
14 dentistry at the state university of Iowa, or ~~for~~ begins a
15 residency at the university of Iowa hospitals and clinics.

16

DIVISION V

17

STATE MEMBERSHIP — REINSURANCE ASSOCIATION

18 Sec. 24. Section 513C.10, subsection 1, paragraph a, Code
19 2025, is amended to read as follows:

20 a. All persons that provide health benefit plans in this
21 state including insurers providing accident and sickness
22 insurance under [chapter 509](#), [514](#), or [514A](#), whether on an
23 individual or group basis; fraternal benefit societies
24 providing hospital, medical, or nursing benefits under chapter
25 512B; and health maintenance organizations, other entities
26 providing health insurance or health benefits subject to state
27 insurance regulation, and all other insurers as designated
28 by the board of directors of the Iowa comprehensive health
29 insurance association with the approval of the commissioner
30 shall be members of the association. However, the state,
31 including a department, an independent agency, the state board
32 of regents, and an institution under the control of the state
33 board of regents, shall not be a member of the association.

34 Sec. 25. EFFECTIVE DATE. This division of this Act, being
35 deemed of immediate importance, takes effect upon enactment.

1 (3) The board of directors or administrator of an agency
2 called upon by a school official to provide services to
3 students in an educational capacity.

4 8. "*Student*" means a person enrolled in a public school,
5 a nonpublic school, or a prekindergarten program in a public
6 school or a nonpublic school.

7 9. "*Student abuse*" means any of the following which occur on
8 school grounds during school time, or on or at a school-related
9 curricular or extracurricular activity:

10 a. Any nonaccidental physical injury, or an injury which
11 does not match the history provided for how the injury
12 occurred, suffered by a student as the result of an act or
13 omission of a school employee, that is not otherwise excluded
14 by section 280.21, subsection 2.

15 b. The commission of a sexual offense under chapter 709,
16 section 726.2, or section 728.12, subsection 1, with or to a
17 student as a result of an act or omission of a school employee.

18 c. An act or omission of a school employee which allows,
19 permits, or encourages a student to engage in an act prohibited
20 under section 725.1.

21 Sec. 28. NEW SECTION. 232E.2 Investigation of alleged
22 student abuse by school employees — rules.

23 1. The department shall administer this chapter to provide
24 for the investigation of reports of alleged student abuse by
25 school employees as specified in this chapter.

26 2. a. If, during the child abuse intake process under
27 chapter 232, subchapter III, part 2, the department receives
28 a report from an identifiable source and the department
29 determines the report constitutes an allegation of student
30 abuse involving a school employee, the department shall notify
31 the board of directors of the public school district or the
32 authorities in charge of the nonpublic school associated with
33 the school employee, and the board of educational examiners, of
34 the determination.

35 b. Upon notification under paragraph "a", the board of

1 directors of the public school district or the authorities in
2 charge of the nonpublic school shall place the school employee
3 on administrative leave and shall prohibit the school employee
4 from entering school property until the investigation is
5 completed.

6 3. If the department determines the alleged student abuse
7 constitutes a criminal act, the department shall do all of the
8 following:

9 a. Immediately refer the matter to, and jointly investigate
10 the matter with, the appropriate law enforcement agency.

11 b. Notify the board of directors of the public school
12 district, or the authorities in charge of the nonpublic school,
13 associated with the school employee of the referral under
14 paragraph "a".

15 c. If the school employee is licensed, certified, or
16 authorized by the board of educational examiners, or holds
17 an active statement of recognition issued by the board of
18 educational examiners, notify the board of educational
19 examiners of the referral under paragraph "a".

20 4. Following receipt of a report of alleged student abuse,
21 the department shall do all of the following:

22 a. Commence an investigation within twenty-four hours of
23 receipt of the report.

24 b. Complete the investigation within thirty business days of
25 receipt of the report.

26 5. Upon completion of an investigation, the department
27 shall submit a written investigation report to all of the
28 following:

29 a. The board of directors of the public school district, or
30 the authorities in charge of the nonpublic school, associated
31 with the school employee subject to the investigation.

32 b. The board of educational examiners if the school
33 employee subject to the investigation is licensed, certified,
34 or authorized by the board of educational examiners, or holds
35 an active statement of recognition issued by the board of

1 educational examiners.

2 6. The department shall adopt rules pursuant to chapter
3 17A, in consultation with the department of education, to
4 administer this chapter. Rules adopted by the department shall
5 include rules regarding the intake and investigation processes,
6 investigation reports, case and investigation record retention
7 and dissemination, and case disposition.

8 7. The department shall maintain information and data
9 regarding student abuse reports, investigations, and
10 dispositions under this chapter separately from information
11 and data regarding child abuse reports, assessments, and
12 dispositions under chapter 232.

13 DIVISION VII

14 STUDENT ABUSE INVOLVING A SCHOOL EMPLOYEE — DEPARTMENT OF
15 EDUCATION

16 Sec. 29. Section 280.17, Code 2025, is amended by striking
17 the section and inserting in lieu thereof the following:

18 **280.17 Student abuse investigations — termination of**
19 **employment.**

20 1. The board of directors of a public school district and
21 the authorities in charge of a nonpublic school shall comply
22 with chapter 232E, and shall cooperate with the department of
23 health and human services during an investigation commenced
24 under chapter 232E.

25 2. The board of directors of a public school or the
26 authorities in charge of a nonpublic school shall terminate the
27 employment of a school employee if the board of directors or
28 authorities in charge receive a written investigation report
29 under section 232E.2, subsection 5, indicating the department
30 of health and human services has determined the school employee
31 committed student abuse.

32 3. The department of education, in consultation with the
33 department of health and human services, shall adopt rules
34 pursuant to chapter 17A, and a model policy, for the handling
35 of investigations pursuant to chapter 232E.

1 Sec. 30. Section 321.375, subsection 3, paragraph d, Code
2 2025, is amended to read as follows:

3 d. The commission of or conviction for a public offense as
4 defined by the Iowa criminal code, if the offense is relevant
5 to and affects driving ability, or if the offense includes
6 sexual involvement with a minor student with the intent to
7 commit acts and practices proscribed under sections 709.2
8 through 709.4, [section 709.8](#), and [sections 725.1 through 725.3](#),
9 ~~or is a violation of the rules of the department of education~~
10 ~~adopted to implement section 280.17~~ student abuse as defined
11 in section 232E.1.

12 DIVISION VIII

13 SCHOOL BUDGETS — MODIFIED SUPPLEMENTAL AMOUNTS

14 Sec. 31. Section 257.31, subsection 5, paragraph o, Code
15 2025, is amended to read as follows:

16 o. (1) The percentage of students enrolled in the school
17 district as the result of open enrollment under section
18 282.18 is equal to or greater than forty-five percent of the
19 total number of students enrolled in the school district.

20 The committee shall not approve supplemental aid or a
21 modified supplemental amount that exceeds an amount equal
22 to fifty percent of the product of the net change in the
23 school district's expected enrollment due to open enrollment
24 multiplied by the sum of the following amounts:

25 (a) The difference between the district's regular program
26 district cost per pupil minus the regular program state cost
27 per pupil.

28 ~~(b) The teacher salary supplement district cost per pupil.~~

29 ~~(c)~~ (b) The professional development supplement district
30 cost per pupil.

31 ~~(d)~~ (c) The early intervention supplement district cost per
32 pupil.

33 (2) Prior to filing a request for supplemental aid or a
34 modified supplemental amount based on the grounds specified
35 in this paragraph, the board of directors shall hold a public

1 hearing on the issue and shall publish the notice of the time
2 and place of the public hearing. Notice of the time and place
3 of the public hearing shall be published not less than ten nor
4 more than twenty days before the public hearing in a newspaper
5 that is a newspaper of general circulation in the school
6 district.

7 (3) A school district is not eligible for supplemental aid
8 or a modified supplemental amount under this paragraph if a
9 majority of the students enrolled in the school district as
10 the result of open enrollment are students receiving online
11 instruction from a private provider under section 256.43,
12 subsection 2.

13 ~~(4) A school district is only eligible for supplemental~~
14 ~~aid or a modified supplemental amount under this paragraph for~~
15 ~~the budget year beginning July 1, 2024~~ If a school district is
16 granted a modified supplemental amount under this paragraph for
17 a budget year beginning on or after July 1, 2025, the school
18 district's combined property tax rate per one thousand dollars
19 for all school district levies for the succeeding budget year
20 shall not exceed the combined property tax rate for all such
21 levies for the budget year for which the modified supplemental
22 amount was granted.

23 Sec. 32. REPEAL. 2024 Iowa Acts, chapter 1152, section 45,
24 is repealed.

25 Sec. 33. EFFECTIVE DATE. This division of this Act, being
26 deemed of immediate importance, takes effect upon enactment.

27 Sec. 34. APPLICABILITY. This division of this Act applies
28 to school budget years beginning on or after July 1, 2025.

29 DIVISION IX

30 WAGERING TAXES

31 Sec. 35. Section 99D.15, subsection 4, paragraph b, Code
32 2025, is amended to read as follows:

33 b. If wagering on simultaneously telecast horse races and
34 dog races is conducted by a licensee under [section 99D.9D](#),
35 a tax of two percent is imposed on the gross sum wagered by

1 the pari-mutuel method on horse races and dog races which
2 are simultaneously telecast in excess of twenty-five million
3 dollars in a calendar year. ~~Of the tax revenue collected~~
4 ~~from simulcast horse races under this paragraph, one-half of~~
5 ~~one percent of the gross sum wagered shall be remitted to~~
6 ~~the treasurer of the county in which a horse racetrack is~~
7 ~~located in this state and licensed under this chapter.~~ The
8 tax revenue from simulcast horse races under this paragraph
9 shall be deposited in the Iowa horse racing fund created in
10 section 99D.27B. The remaining amount of tax revenue shall be
11 deposited with the commission.

12 Sec. 36. Section 99D.17, Code 2025, is amended to read as
13 follows:

14 **99D.17 Use of funds moneys.**

15 Funds Unless otherwise provided by section 99D.15 or another
16 provision of law, moneys received pursuant to sections 99D.14
17 and 99D.15 shall be deposited as provided in section 8.57,
18 subsection 3. These funds moneys shall first be used to the
19 extent appropriated by the general assembly. The commission
20 is subject to the budget requirements of chapter 8 and the
21 applicable auditing requirements and procedures of chapter 11.

22 Sec. 37. NEW SECTION. 99D.27B Iowa horse racing fund —
23 advance deposit wagering tax.

24 1. An Iowa horse racing fund is created in the state
25 treasury under the control of the commission.

26 2. The fund shall consist of tax revenue collected and
27 deposited in the fund pursuant to subsection 6 and section
28 99D.15, subsection 4, and such other moneys appropriated to,
29 transferred to, or deposited in the fund.

30 3. a. Moneys in the fund are appropriated to the commission
31 for distribution in a manner and in an amount as determined by
32 the commission to individual entities or a recognized compact
33 of entities tasked with the regulation of the horse racing
34 industry in accordance with the federal Horseracing Integrity
35 and Safety Act of 2020, 15 U.S.C. ch. 57A.

1 *b.* In the event that the federal Horseracing Integrity
2 and Safety Act of 2020, 15 U.S.C. ch. 57A, is repealed,
3 moneys in the fund shall be transferred to the rebuild Iowa
4 infrastructure fund created in section 8.57.

5 4. Members of the commission and those acting on behalf of
6 the commission assisting in the distribution of the moneys in
7 the fund shall be held harmless against any claim of liability
8 made by an individual or entity arising out of the distribution
9 of the moneys from the fund by the commission.

10 5. Section 8.33 does not apply to moneys in the fund.
11 Notwithstanding section 12C.7, subsection 2, interest or
12 earnings on moneys deposited in the fund shall be credited to
13 the fund.

14 6. A tax of two percent is imposed on the gross sum wagered
15 by the pari-mutuel method as an advance deposit wager under
16 section 99D.11, subsection 6, paragraph "c". The tax imposed
17 under this subsection is in lieu of any tax imposed on such
18 wagers under section 99D.15. The tax revenue generated under
19 this subsection shall be deposited in the fund.

20 DIVISION X

21 STATE FIRE MARSHAL STUDY

22 Sec. 38. STATE FIRE MARSHAL — COUNTYWIDE FIRE PROTECTION
23 SERVICES STUDY.

24 1. The state fire marshal shall conduct a study of fire
25 protection services in this state to analyze whether a
26 structure of countywide fire protection services would maximize
27 fire protection coverage and emergency response times. The
28 study shall be conducted in consultation with representatives
29 from the following stakeholders:

30 a. The department of homeland security and emergency
31 management.

32 b. The Iowa association of professional fire chiefs.

33 c. The Iowa fire chiefs' association.

34 d. The Iowa firefighters association.

35 e. The Iowa professional fire fighters.

1 f. The Iowa emergency management association.

2 g. At least one attorney licensed to practice law in this
3 state with experience representing entities associated with
4 fire protection services.

5 h. At least one representative from a city having a
6 population of thirty-seven thousand or more as determined by
7 the 2020 federal decennial census.

8 i. At least one representative from a city having a
9 population of less than five thousand as determined by the 2020
10 federal decennial census.

11 j. At least one representative from a county having a
12 population of ninety thousand or more as determined by the 2020
13 federal decennial census.

14 k. Four members of the general assembly serving as
15 ex officio, nonvoting members, one representative to be
16 appointed by the speaker of the house of representatives, one
17 representative to be appointed by the minority leader of the
18 house of representatives, one senator to be appointed by the
19 president of the senate after consultation with the majority
20 leader of the senate, and one senator to be appointed by the
21 minority leader of the senate.

22 2. The countywide fire protection services study shall
23 include all of the following:

24 a. A cost analysis for upfront and ongoing costs to provide
25 consolidated countywide fire protection services systems. The
26 analysis and recommendations shall include proposed funding
27 mechanisms and potential consolidated funding resources that
28 comply with local, state, and federal law. The analysis shall
29 also include the potential effects countywide fire protection
30 services could have on local authority expenditures and
31 budgets.

32 b. An analysis of current fire protection coverage
33 including current response times and recommendations for
34 placement of service stations to maximize fire protection
35 coverage and emergency response times in the most efficient and

1 cost-effective manner.

2 c. An analysis of current and future staffing needs
3 including a proposed employment structure for countywide
4 fire protection services that focuses on adequate employee
5 pay and volunteer staffing, including benefits, stipends, or
6 other compensation allowed in accordance with local, state, or
7 federal law.

8 d. An analysis of current fire protection services
9 equipment and future fire protection services equipment needs
10 including proposed placement of fire protection services
11 equipment in service stations to maximize fire protection
12 coverage and emergency response times.

13 e. An analysis of current communication and dispatch
14 challenges including proposed recommendations for more
15 efficient and effective communications.

16 f. An analysis of the need for city and township fire
17 protection services in relation to the implementation of a
18 countywide fire protection service.

19 g. An analysis of existing countywide fire protection
20 service programs in this state including outlining current
21 processes and procedures. The analysis under this paragraph
22 must include outlines of any current or proposed fire
23 protection service programs under chapter 28E, 357B, 357F,
24 357G, or 357J, and any other legal agreement, contract, or
25 consolidated effort, including as part of a district.

26 h. An analysis of countywide fire protection services in
27 other states, with an emphasis on midwest states, including an
28 analysis of those fire protection programs in comparison to the
29 fire protection needs of this state.

30 i. Recommendations for the implementation of countywide
31 fire protection services in this state including proposed
32 functionality and an emphasis on the potential impact of
33 implementation on the four most populous counties in this
34 state as determined by the 2020 federal decennial census,
35 along with surrounding counties if a multicounty approach to

1 fire protection services would be more beneficial based on the
2 study's findings.

3 3. The state fire marshal shall submit a report of the
4 study's findings to the general assembly on or before June 30,
5 2026.

6 Sec. 39. EFFECTIVE DATE. This division of this Act, being
7 deemed of immediate importance, takes effect upon enactment.

8 DIVISION XI

9 INTERIM STUDIES

10 Sec. 40. INTERIM STUDY COMMITTEE — ALL-TERRAIN VEHICLES
11 AND OFF-ROAD UTILITY VEHICLES ON HIGHWAYS.

12 1. The legislative council is requested to establish an
13 interim study committee to meet during the 2025 legislative
14 interim to examine policy matters and recommend statutory
15 changes relating to the operation of all-terrain vehicles
16 and off-road utility vehicles on highways, including but not
17 limited to the following:

18 a. Requiring registration and a fee for all-terrain
19 vehicles and off-road utility vehicles to be operated on a
20 highway, other than the registration required for such vehicles
21 to be operated on public land, public ice, or a designated
22 riding trail of this state.

23 b. Consolidating Code provisions that regulate the
24 operation of all-terrain vehicles and off-road utility
25 vehicles.

26 2. The interim study committee shall consist of three
27 members of the senate, two of whom shall be appointed by
28 the majority leader of the senate and one of whom shall be
29 appointed by the minority leader of the senate, and three
30 members of the house of representatives, two of whom shall be
31 appointed by the speaker of the house of representatives and
32 one of whom shall be appointed by the minority leader of the
33 house of representatives.

34 3. The interim study committee, in consultation with
35 the director of the department of transportation or the

1 director's designee, the commissioner of public safety or the
2 commissioner's designee, and the director of the department of
3 natural resources or the director's designee, shall submit a
4 report with its findings and recommendations to the general
5 assembly no later than January 12, 2026. A proposed bill by
6 the interim study committee may be filed in lieu of submitting
7 a final report.

8 Sec. 41. SUBACUTE MENTAL HEALTH CARE SERVICES — INTERIM
9 STUDY COMMITTEE.

10 1. The legislative council is requested to establish an
11 interim study committee during the 2025 legislative interim
12 to review the following topics as related to subacute mental
13 health care services:

14 a. The mental health services that should be available at a
15 subacute level of care.

16 b. Whether subacute mental health care services would be
17 most effectively delivered through a single subacute mental
18 health care facility serving the entire state, several regional
19 subacute mental health care facilities, or local options for
20 subacute mental health care services.

21 c. The mental health care providers that could best provide
22 subacute mental health care services.

23 d. The requirements for an individual's commitment, whether
24 voluntary or involuntary, to a subacute mental health care
25 facility or for subacute mental health care services.

26 e. The changes that may be required to the current
27 commitment process to allow for an individual's commitment to
28 a subacute mental health care facility or for subacute mental
29 health care services.

30 f. The requirements for an individual's discharge from a
31 subacute mental health care facility or from subacute mental
32 health care services.

33 2. The interim study committee shall consist of five members
34 of the senate and five members of the house of representatives.
35 Three members of the senate shall be appointed by the majority

1 leader of the senate and two members of the senate shall be
2 appointed by the minority leader of the senate. Three members
3 of the house of representatives shall be appointed by the
4 speaker of the house of representatives and two members of the
5 house of representatives shall be appointed by the minority
6 leader of the house of representatives.

7 3. The interim study committee shall report the committee's
8 findings and recommendations to the general assembly no later
9 than January 12, 2026.

10

DIVISION XII

11

911 EMERGENCY COMMUNICATIONS SERVICES

12

Sec. 42. NEW SECTION. 34A.12 Delivery of 911 calls —
13 reimbursement.

14

The program manager may request reimbursement from each
15 joint 911 service board for reasonable costs under section
16 34A.7A related to the delivery of 911 call traffic to public
17 safety answering points. Upon request, each joint 911 service
18 board shall reimburse the department of homeland security and
19 emergency management for such costs within thirty days.>

20

2. Title page, by striking lines 1 through 8 and inserting
21 <An Act relating to state government and finances, including
22 by making, modifying, limiting, or reducing appropriations,
23 distributions, or transfers; authorizing expenditure of
24 unappropriated moneys in special funds; providing for properly
25 related matters including crystalline polymorph psilocybin,
26 medical residency and fellowship positions, state membership
27 in the Iowa individual health benefit reinsurance association,
28 student abuse by school employees, modified supplemental
29 amounts for school budgets, wagering taxes, a state fire
30 marshal study, certain legislative interim studies, and 911
31 emergency communications services; making corrections; and
32 including effective date, applicability, and retroactive
33 applicability provisions.>

GEHLBACH of Dallas